



MISSILE DEFENSE AGENCY

JUSTIFICATION AND APPROVAL FOR OTHER THAN FULL AND OPEN COMPETITION

TERMINAL HIGH ALTITUDE AREA DEFENSE

THAAD FOLLOW-ON DEVELOPMENT CONTRACT

August 7, 2023

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

J&A No: xx-0001

JUSTIFICATION AND APPROVAL
FOR OTHER THAN FULL AND OPEN COMPETITION – FAR Part 6

Program/Equipment: The Development, Integration and Testing of any Hardware and Software upgrades, Obsolescence Surveillance and Mitigation, Information Assurance and Cybersecurity Engineering, Quality, Safety and Mission Assurance, Initial Fielding, Logistics Support and Training Products for THAAD upgrades and/or capability.

Authority: 10 U.S.C. 3204(b)(B) as implemented by FAR 6.302-1(a)(2)(iii) which states: “For DoD, NASA, and the Coast Guard, services may be deemed to be available only from the original source in the case of follow-on contracts for the continued provision of highly specialized services when it is likely that award to any other source would result in – (A) Substantial duplication of cost to the Government that is not expected to be recovered through competition; or (B) Unacceptable delays in fulfilling the agency’s requirements.

Amount: The estimated ceiling of this IDIQ contract, with all options, is

1. Introductory Paragraph.

Upon the basis of the following justification, I, as the Director of the Missile Defense Agency (MDA), hereby approve the issuance of the contractual action discussed below using other than full and open competition pursuant to the authority cited herein.

2. Agencies and Contracting Activity (FAR 6.303-2(b)(1)).

This Justification and Approval (J&A) for Other Than Full and Open Competition is for the MDA, Terminal High Altitude Area Defense (THAAD) Project Office. The contracting activity is THAAD Contracts (THK). The point of contact for this action is [REDACTED]

3. Nature and Description of the Action Being Approved (FAR 6.303-2(b)(2)).

MDA intends to award a sole-source contract to Lockheed Martin (LM) Space, Sunnyvale, CA, for THAAD Follow-on Development and Engineering Technical Support for future testing, Missile Defense System integration and development as a follow-on to the current Advanced Capabilities Development (ACD) contract, HQ0147-12-D-0001. The THAAD Follow-on Development Contract (TFODC) will be an Indefinite-Delivery/Indefinite-Quantity (IDIQ) type, the majority of Contract Line Item Numbers (CLINs) will be cost-plus-fixed-fee, cost-plus-incentive-fee for Development and Engineering Support, due to the uncertainties involved in capability development. This is particularly true as threats change and the Warfighters' demands for THAAD increase. Use of fixed price incentive is also a consideration for certain Task Orders where development risk is lower, such as form fit function replacement obsolescence mitigations and laboratory sustainment. The contract type for each task order will be determined by the complexity and risk associated with the task order requirement. Subject to availability of funds, this contract effort will be funded with Research, Development, Test and Evaluation, Procurement, Operations and Maintenance, funds as authorized and appropriated by Congress for this and other related activities. Foreign Military Sales (FMS) customers' requirements will be funded with Foreign Military Sales (FMS) funds.

THAAD plans to award this contract in the second quarter of FY 2025 with an initial ordering period of 5 years extending through the second quarter of FY 2030 and options for one (1) 3 - year option, through FY 2033 and one (1) 2-year option, through FY 2035, totaling 10 years.

4. Description of the Supplies and/or Services Required to Meet the Agency's Needs (including the estimated value) (FAR 6.303-2(b)(3)).

The THAAD Weapon System is comprised of the following components: Interceptor, THAAD Fire Control and Communications, Launcher, Peculiar Support Equipment, and Radar integrated into the Weapon System.

In this IDIQ contract, the Contractor's scope includes the Development, Integration and Testing of any Hardware and Software upgrades, Obsolescence Surveillance and Mitigation, Information

Assurance and Cybersecurity Engineering, Quality, Safety and Mission Assurance, Initial Fielding, Logistics Support and Training Products for THAAD upgrades and/or capability, as directed by the Government.

Using Task Orders, the contractor is responsible for the development, integration, and testing to include support of flight-testing, of any modifications to the THAAD System, as awarded by the Government and demonstrations that the final component/system designs, as modified, are producible, supportable and meet established requirements set forth in the THAAD System Specification and military requirements. To be completed by the requiring activity in coordination with the Contracting Officer.

The estimated ceiling of this IDIQ contract, with all options, is [REDACTED]. The estimated cost profile for this effort is illustrated in the table below.



5. Statutory Authority Permitting Other than Full and Open Competition (FAR 6.303-2(b)(4)).

The proposed action is authorized under the provisions of 10 U.S.C. 3204(b)(B) as implemented by FAR 6.302-1(a)(2)(iii) which states: “For DoD, NASA, and the Coast Guard, services may be deemed to be available only from the original source in the case of follow-on contracts for the continued provision of highly specialized services when it is likely that award to any other source would result in – (A) Substantial duplication of cost to the Government that is not expected to be recovered through competition; or (B) Unacceptable delays in fulfilling the agency’s requirements (See 10 U.S.C. 3204(b)(B))”.

6. Demonstration of Contractor’s Unique Qualifications or the Nature of the

Acquisition Requires use of the Authority Cited (FAR 6.303-2(b)(5)).

LM is the only responsible source that can provide the required technical and program management, expertise and experience without unacceptable schedule risks and substantial duplication of previously-expended costs, which would not be recovered through full and open competition without unacceptable degradation to THAAD's continued development, testing and fielding.

The above source limitations/restrictions are justified by the following facts and circumstances:

- a) LM remains the responsible source for future THAAD capability development, to include engineering services and sustainment engineering for THAAD. Real-world circumstances across multiple Combatant Commanders' Areas of Operation are driving the need for maximum operational availability and up-to-date THAAD Weapon Systems across the global fleet. Subsidizing the knowledge gained and in-theater experience for another contractor in a compressed-time environment represents an unnecessary and duplicative cost to both U.S. Government (USG) and (FMS) customers.
- b) The THAAD Weapon System consists of a highly-complex Technical Data Package (TDP), requiring special knowledge and engineering expertise to ensure and maintain stringent performance requirements and extremely tight tolerances. MDA's current TDP is not a production-ready TDP, and does not include special and/or critical processes required to manufacture a first-time quality product. THAAD procured a Level II Configuration 1 TDP in 2012. Executing the TFODC requirements with a vendor other than LM would significantly duplicate costs to the Agency and would not be expected to be recovered through competition. The duplication of cost is estimated to reach approximately [REDACTED] in comparison to the [REDACTED] IGCE for TFODC. This estimated cost of competition is based, in part, of the following: 1) an engineering cost estimate of [REDACTED] associated with acquiring the complete Level III Configuration 2 and Configuration 3 TDPs from LM; 2) duplication of infrastructure, such as manufacturing capabilities and lab environments; and 3) the cost of delaying capability deliveries to the warfighter due to the transfer of the design technology. Estimates state it would take [REDACTED] to duplicate the knowledge base, proficiency level, unique manufacturing processes and establish test facilities associated with development of the THAAD Weapon System.
- c) Real-world circumstances across multiple Combatant Commanders' Area of Operations are driving the need for maximum operational availability and up-to-date THAAD Weapon Systems across the global fleet. This need to pace the threat and acceleration of [REDACTED] do not allow for a disruption in development, nor a break in production of interceptors. Obsolescence surveillance and mitigation completed under the TFODC cannot afford the disruptions caused by a new prime contractor, or it could cause a production stoppage. Subsidizing the knowledge gained and in-theater experience for another contractor in a compressed-time environment represents an unnecessary and duplicative cost to both USG and FMS customers. This cost duplication and resultant schedule risk deters future FMS customers.

FMS funds will be used to support the International Engineering Services Program (IESP) objectives and FMS development, test and evaluation, procurement, operational and maintenance sustainment activities as directed by FMS customers.

The International Engineering Services Program (IESP), is a condition of sales for the FMS Program. The IESP is a cost-sharing (fair-share) program between USG and FMS customers, designed to maximize administrative and execution efficiencies related to delivering engineering services to all customers while ensuring each country's contributed share is obligated under a common contract vehicle.

The IESP represents a system standardization initiative that maximizes commonality of hardware and software to the greatest extent possible to reduce life cycle costs for all system owners. DoD Manual 4120.24, Defense Standardization Program (DSP) Procedures, Section 6, cites Standardization as justification for other than full and open competition. FAR 6.302-1(b)(4) authorizes other than full and open competition to support the standardization of the THAAD Weapon System as outlined as goals of the IESP consistent with the DSP procedures. IESP requirements remain in the TFODC's Period of Performance. Separation of tasks leading to a separate procurement action would result in unnecessary duplication of cost and undue delay in the execution of the required engineering services to USG and FMS customers. USG's contribution to this 'fair share' program is [REDACTED]. The United Arab Emirates (UAE) agreed to join the IESP in FY 2016. The UAE's expected contribution to the IESP is [REDACTED]. The Kingdom of Saudi Arabia (KSA) agreed to join the IESP in [REDACTED]. The KSA's expected contribution to the IESP is [REDACTED]. The fair share contributions of the IESP reduce the USG funds required, enabling reallocation of USG resources to procure additional engineering services and sustaining engineering within the scope of the TFODC IDIQ contract. Duplication of cost and undue delays in the execution of the required engineering services de-incentivizes future FMS cases. Future FMS cases will increase the resources, on a prorated basis of the number of batteries procured of the total worldwide fleet, available to the IESP.

No source, other than LM can perform the role of the THAAD Weapon System Prime Contractor and overall Weapon System Integrator at an acceptable level of risk. Any source other than LM would have to acquire, in a very limited timeframe, the extensive knowledge and experience, which LM already possesses. Furthermore, there is high risk to the Government for the development of the design technology associated with acquisition of the Weapon System and the projected startup costs for a new source. In addition, affordability, while important, is on equal footing with the THAAD Program objective of achieving excellent technical and management capabilities and the ability to meet a critical need to expeditiously support the Warfighter. It would take [REDACTED] to duplicate the knowledge base, proficiency level, unique processes, and manufacturing facilities associated with development of the deployable THAAD Weapon System components.

7. Efforts to Obtain Competition (FAR 6.303-2(b)(6)).

The THAAD Project Office (TPO) conducted Market Research by posting a Request for Information (RFI) to SAM.Gov on March 8, 2022. The RFI included an unclassified set of

response instructions and a classified threat annex provided by MDA's Directorate of Engineering Threat Intelligence organization.

Ten vendors responded to the RFI, and each vendor was assessed by a cross functional team comprising of 42 members from seven separate MDA organizations and two Federally Funded Research and Development Centers (FFRDCs) John Hopkins University/Applied Physics Laboratory (JHU/APL) and the Massachusetts Institute of Technology/Lincoln Laboratory (MIT/LL))

After market research was conducted applying the THAAD-unique constraints as described in Paragraph 6, the only viable source that could conduct the follow-on work was LM.

8. Determination of Fair and Reasonable Cost (FAR 6.303-2(b)(7)).

In accordance with FAR 15.402, the Procuring Contracting Officer (PCO) shall ensure that all supplies and services ordered under this contract are procured at a fair and reasonable price. As necessary, the Contractor will submit formal price proposals with certified cost or pricing data and sufficient information to support the accuracy and reliability of the estimates. Experienced technical analysts and contract specialists will review the Contractor's proposed cost with the aid of necessary field pricing support. Cost Analysis will be based on historical cost data and rate information by field pricing support agencies. The PCO will use the cost and price analysis as the basis for negotiating a fair and reasonable price with LM.

9. Description of Market Research Conducted (FAR 6.303-2(b)(8)).

Pursuant to the FAR and DFARS, THAAD Missile Defense Layered Enhancement (TMDLE) market research was conducted from March 2022 to March 2023. While the result of this research showed a developing market space within the development arena, the lack of the Level III TDP does not allow offerors, other than the incumbent, to meet all objectives, specifically the area of Government Furnished Equipment (GFE). Therefore, the risk of transitioning to another Prime would be high.

The Government conducts continual market research, and the following represents the latest information that supported the decision to request this J&A:

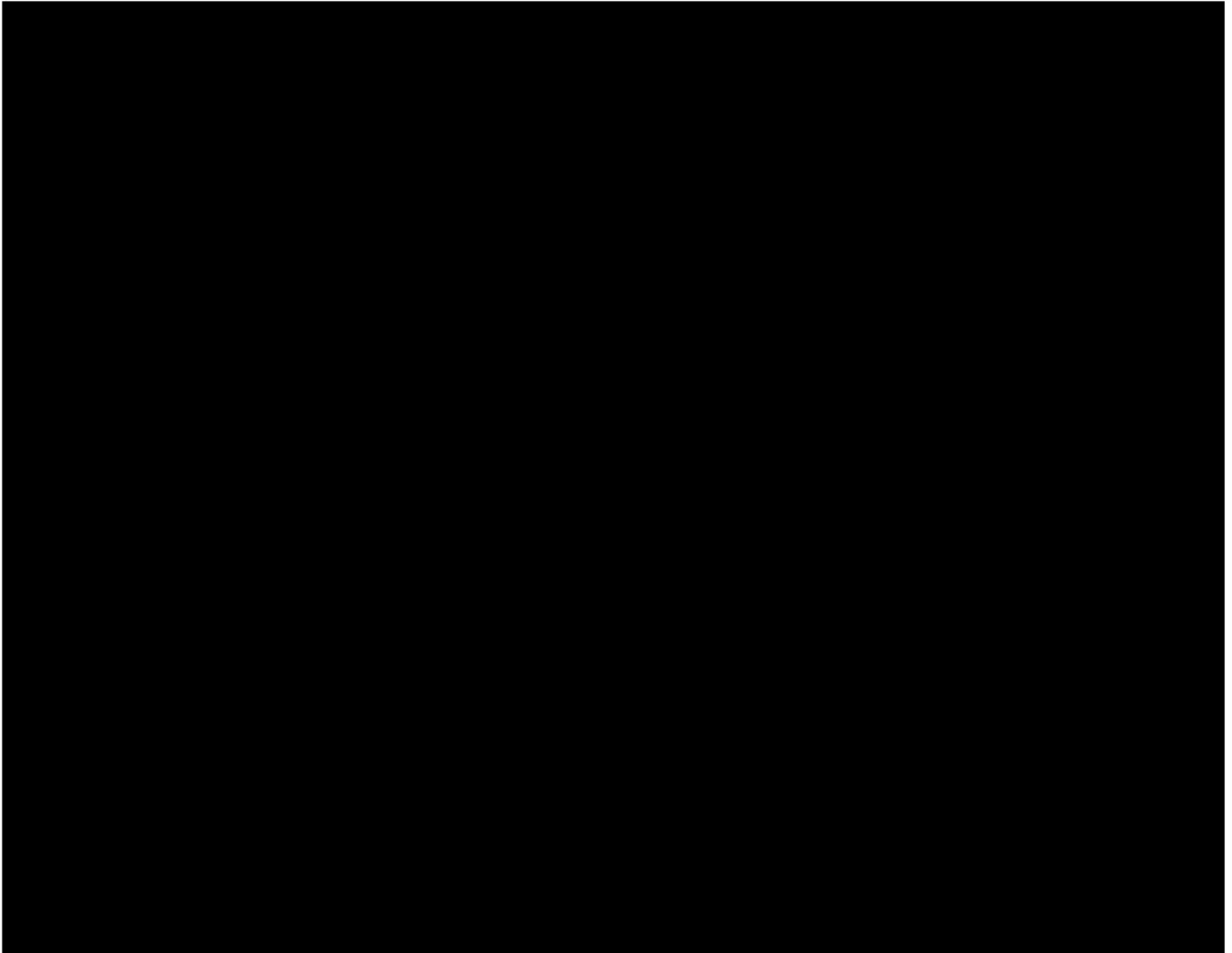
- a) THAAD conducted market research to determine interest and capabilities for sources to meet requirements such as future capability development/upgrades, flight and ground testing, obsolescence surveillance/mitigation, cybersecurity and initial fielding of capabilities. The market research was conducted from March 2022 – March 2023 to assess business interest and capabilities to meet the requirements, as well as obtaining opportunities and market knowledge.
- b) The Request for Information was developed and posted to SAM.GOV on March 8, 2022. An assessment found one vendor fully met the requirement to complete the full effort (LM), one other marginally met the requirement (Raytheon) and two small businesses responded (Arcarithm, deciBel), but did not address the requirements. After market research and applying the THAAD-unique constraints as described in Paragraph 6, the only viable source that could conduct the follow-on work was LM.

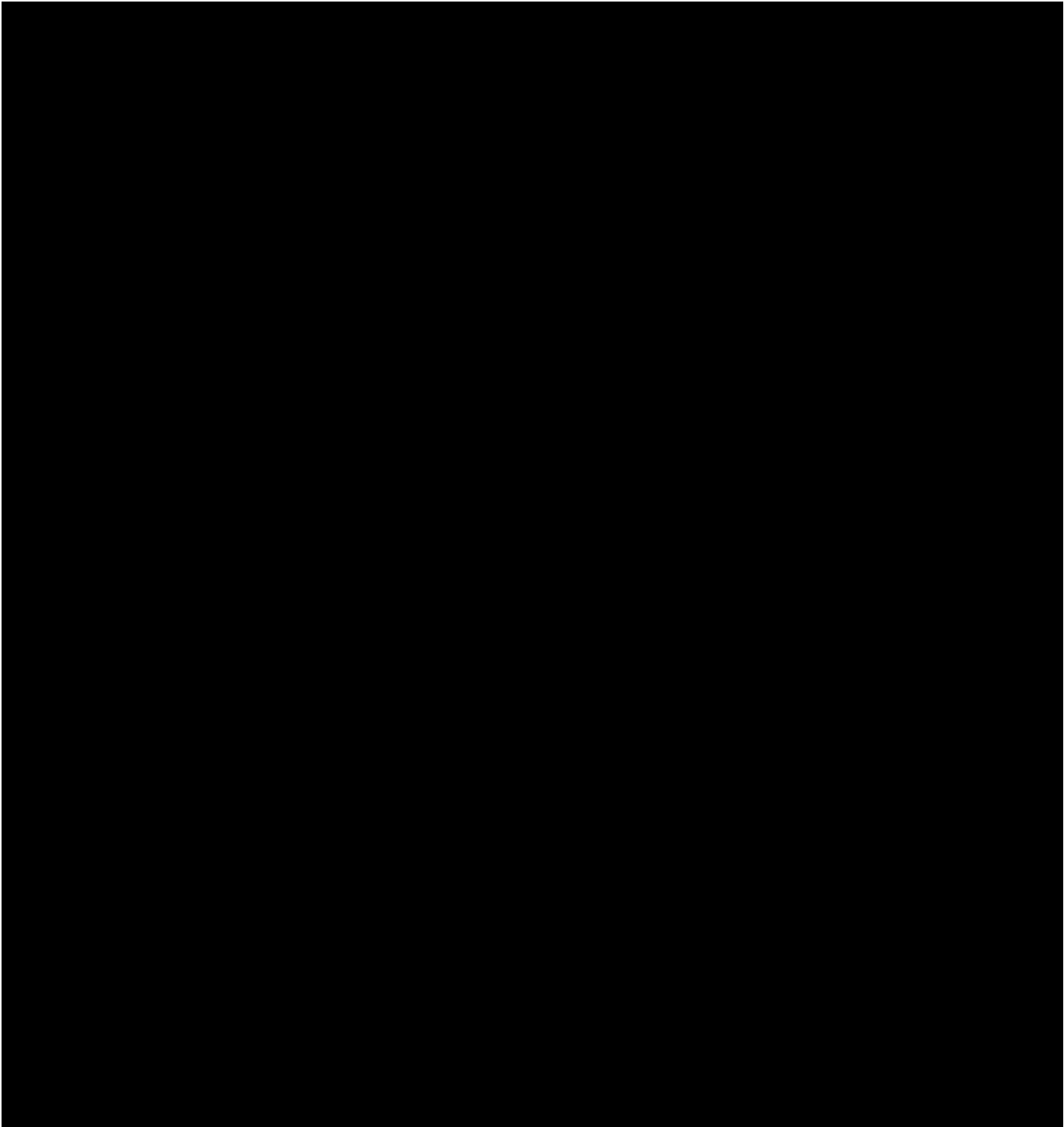
10. Any Other Facts Supporting the Use of Other Than Full and Open Competition (FAR 6.303-2(b)(9)).

The Warfighter's request and subsequent agreement by MDA to accelerate [REDACTED] [REDACTED] have greatly condensed the timeline for delivery of the capabilities. Embarking on a second source to manufacture, test, and qualify the additional ground components would add substantial schedule risk, estimated at greater than [REDACTED]. This gap will cause an unacceptable delay in fulfilling the Agency's requirements and would result in a diminished/delayed support to the Warfighter.

Without the continued support from LM, as the system integrator, mission readiness will be degraded. Such an interface ensures an effective and efficient means of worldwide support for the system to deploy as needed.

11. Listing of Sources (FAR 6.303-2(b)(10)).





As stated above in section 9 b) The Request for Information was developed and posted to SAM.GOV on March 8, 2022. An assessment found one vendor fully met the requirement to complete the full effort (LM), one other marginally met the requirement (Raytheon) and two small businesses responded (Arcarithm, deciBel), but did not address the requirements.

12. Actions Taken to Remove Barriers to Competition (FAR 6.303-2(b)(11)).

In order to overcome competition barriers in the Future THAAD conducted a formal market research report and forwarded the results of that report to the MDA Chief Architects office in

November 2022. This report will help inform the future of missile defense for THAAD and other MDA programs on all of the potential future options for Terminal Layer Defense. THAAD is continually reviewing its development program to find any opportunities to introduce competition. With additional time, the industry may mature and produce more offerors capable of fully meeting the THAAD requirements.

Additionally as stated in Section 6 of this document, [REDACTED]

[REDACTED] Executing the TFODC requirements with a vendor other than LM would significantly duplicate costs to the Agency and would not be expected to be recovered through competition. This is extremely cost prohibitive and as such is not a feasible approach for the USG.

FAR Clause 52.244-5, "Competition in Subcontracting" is included in this contract.

Accordingly, LM shall be required to continue the selection of Subcontractors on a competitive basis to the maximum practical extent, consistent with the objectives and requirements of the contract.



11. **Technical/Requirements Official Certification (FAR Part 6.303-2(c)).**

“I certify that this justification for other than full and open competition is made in good faith and that the supporting data and information are accurate and complete to the best of my knowledge and belief. I further certify that this request is not the result of a lack of advance planning.”

[Redacted signature and name]
[Redacted title]

12. **Contracting Officer (FAR Part 6.303(b)(12)).**

“I have determined that the anticipated cost to the Government will be fair and reasonable and certify that the justification is accurate and complete to the best of my knowledge and ability.”

[Redacted signature and name]
[Redacted title]

13. **Legal Counsel.**

“I have reviewed the justification and determined it to be legally sufficient.”

[Redacted signature and name]
[Redacted title]

14. **Contracting Director (Program Level).**

“I have reviewed the justification and recommend it be approved.”

[Redacted signature and name]
[Redacted title]





15. **Recommendation of Competition Advocate.**
“I recommend approval of the above justification.”

[Redacted]
[Redacted]

16. **Director for Contracting.**
“I have reviewed the justification and recommend it be approved.”

[Redacted]
[Redacted]

17. **Director for Acquisition.**
“I have reviewed the justification and recommend it be approved.”

[Redacted]
[Redacted]

18. **Approval (FAR Part 6.304).**
“In accordance with FAR Part 6.304, the above justification for other than full and open competition is hereby approved.”

[Redacted]
[Redacted]

